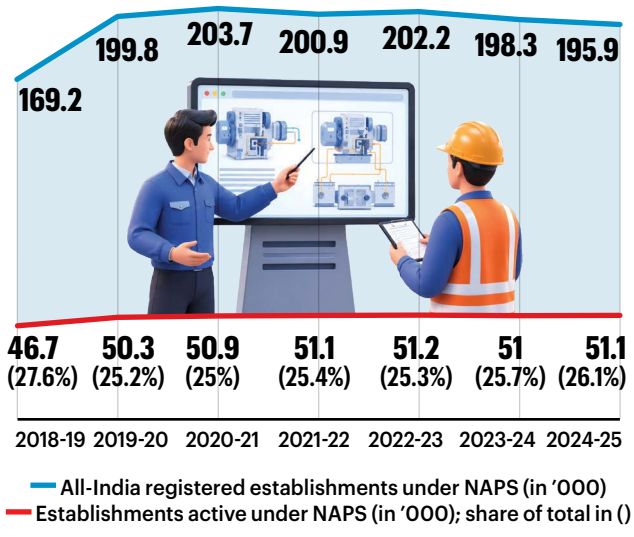
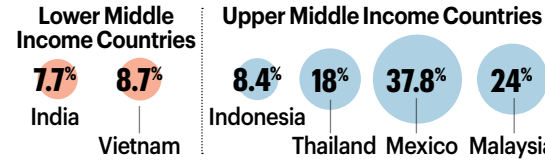
INDUSTRY: THE RELUCTANT PARTNER

About 51,000 companies provide apprenticeship training each year through the National Apprenticeship Promotion Scheme (NAPS)—just over a quarter of all registered companies under the programme



GLOBAL LAGGARDS

Only 7.7 per cent of firms in India offer formal training to their full-time employees

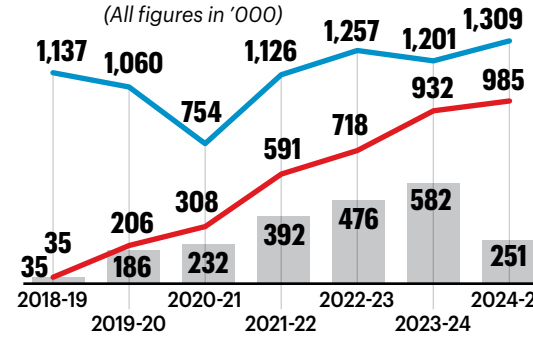


(% denotes share of total firms)

FEW MAKE IT TO THE END

There's a wide gap on the apprentice side too

(All figures in '000)



Sources: NITI Aayog's 2026 report 'Revitalising India Apprenticeship Ecosystem' and working paper 'Education and Skilling for Employment: From Credentials to Learning Outcomes'



"No kid in, say, Delhi or Tamil Nadu would want to work in a factory for Rs 10,000-15,000; they would rather do delivery work or drive a bike taxi"

ANIL BHARDWAJ, *Secretary General, FISME*

learning risk, when they pay for training but the candidate fails to learn; attrition risk, when they pay for training, the candidate becomes productive but then leaves for another job; and productivity risk, when they pay for training but the candidate still fails to become productive.

The financing problem is even more acute for smaller businesses, says Anil Bhardwaj, secretary general of the Federation of Indian Micro, Small & Medium Enterprises (FISME). "No kid in, say, Delhi or Tamil Nadu would want to work in a factory for Rs 10,000-15,000; they would rather do delivery work or drive a bike taxi," he says. It also makes little economic sense for those from distant states such as Bihar and Jharkhand to take up such an offer when the entry-level salary is grossly inadequate to sustain the cost of living in the destination city. Moreover, MSMEs typically operate on shoestring budgets, often without dedicated HR or training departments, which forces production-facing workers to train freshers while meeting their own targets.

The government had also launched the PM Internship Scheme to provide youth aged 18-25 with internship opportunities in top companies. Interns receive a monthly stipend of Rs 9,000, one-time assistance of Rs 6,000 and insurance cover. Implemented by the ministry of corporate affairs, the scheme is gaining traction, albeit slowly. In the third pilot, running from April to December 2026, 340 companies have offered 122,000 internship opportunities, with 10,195 candidates physically joining by July 15. The joining figures have already surpassed that of the first pilot (8,760) and the second (7,308).

MISMATCH 3

GAPS IN EDUCATION

Higher education continues to run on a parallel track to skilling and remains largely insulated from industry demands. India has tried to introduce vocational education in schools for decades, the latest effort being the National Education Policy (NEP) 2020. Its implementation began in phases from 2020, with an emphasis on introducing vocational exposure from Grade 6, without a rigid separation between academic and vocational education. The aim was to encourage hands-on learning early and reposition vocational education as an aspirational choice rather than as a fallback option. Early exposure to skilled trades could also help reduce the social stigma attached to manual work and help skilled manual